



Master Test - 01
Mark : 50

CA Intermediate Udesb Regular Sep 2026

16/04/2026
Time : 90 Mins

Master Test –1

General Instructions

- (1) The question paper comprises two parts, Part I and Part II.
- (2) Part I comprises 8 Multiple Choice Questions (MCQs).
- (3) Part II comprises 4 questions which require descriptive answers.
- (4) In Part I- All MCQs are compulsory.
- (5) In Part II- Question 1 is compulsory. Candidates are required to answer any 2 questions from the remaining 3 questions.

Part I- MCQs

Directions (1-4) Read the following passage and answer the given questions.

EBC Ltd. is a company incorporated under the Companies Act, 2013. It is engaged in the business of manufacturing paper plates and bamboo cutlery. It has decided to raise capital by issuing shares to the public.

The company's board of directors approved the issuance of 2,00,000 equity shares with a nominal value of ₹10 each, aiming to raise ₹20,00,000. The company's prospectus stated that the minimum subscription required for this issue is ₹18,00,000.

In the prospectus, it was also mentioned that the minimum amount payable on application is ₹2.5 per share. The company's management ensured that these details complied with the relevant provisions of the Companies Act, 2013, and the Securities and Exchange Board of India (SEBI) regulations.

When the subscription period closed, the company had received applications for 1,60,000 shares, with all applicants having paid the application money of ₹2.5 per share.

Answer the following Multiple-Choice Questions (1-4) as per the provisions of the Companies Act, 2013.

1. Considering the provisions of the Companies Act, 2013, and the SEBI regulations, is EBC Ltd. allowed to allot shares based on the subscriptions received?
(2 Marks)
(A) Yes, because the minimum application money of 5% of the nominal amount has been received
(B) No, because the total subscription amount is less than 90% of the entire issue
(C) Yes, because the company has received more than 98% of the minimum subscription
(D) No, because the application money received per share is less than 25% of the issue price
2. What is the minimum subscription amount that EBC Ltd. needed to receive to proceed with the allotment of shares, according to the Companies Act, 2013 read with the SEBI regulations?
(2 Marks)
(A) ₹ 20,00,000
(B) ₹ 18,00,000
(C) ₹ 16,00,000
(D) ₹ 14,00,000
3. If EBC Ltd. decides to return the application money to the applicants due to non-fulfilment of minimum subscription, within how many days should the refund be made according to the Companies Act, 2013 and Companies (Prospectus and Allotment of Securities) Rules, 2014?
(2 Marks)
(A) 15 days
(B) 30 days
(C) 45 days
(D) 60 days



4. If the company proceeds with the allotment despite not meeting the minimum subscription requirement, what could be the consequences under the Companies Act, 2013?

(2 Marks)

- (A) The allotment will be considered valid if approved by a special resolution
- (B) The allotment will be considered void and the company may face penalties
- (C) The allotment will be valid if the board of directors approves it unanimously
- (D) The company will need to seek approval from the SEBI for the allotment to be valid

Directions (5-7) Read the following passage and answer the given questions.

ABC Publications Limited accepted deposits from the public to the tune of ₹ 70 Lakh on 1st May 2021, for a period of 36 months at an interest rate of 10% per annum. The repayment would be made on 30th April, 2024. It has complied with all the statutory requirements for the acceptance of deposits by a Public Limited Company. One of the depositors Mr. Y was in urgent need of money as his son wanted to pursue his higher education abroad. His total deposit with ABC Publications Limited was ₹10 lakh. On 1st June 2022, he sent his request to the company asking for premature repayment of his deposit along with interest.

Another depositor, Mr. U had deposited ₹ 6 lakh in his name. On 18th September 2022, he sent an application to the company to change the name on his deposit and make it a joint holding in the names of himself, his wife and two children. The company is contemplating the requests received from its depositors.

In addition to the deposits received from the public, the company had also raised funds by amount received from a Public Sector Bank, by issue of bonds and debentures and amounts against issue of commercial papers which were issued according to the guidelines issued by the Reserve Bank of India.

On the basis of the given facts, and by applying the applicable provisions of the Companies Act, 2013 and the Rules therein, choose the correct answer of the following questions:

5. Advise ABC Publications Limited regarding the amount and the interest that can be repaid to Mr. Y:

(2 Marks)

- (A) The company cannot make premature repayment of the deposits.
- (B) The company can prematurely repay the deposit along with interest@ 10% for a period of 13 months (15 May 2021 to 31st May 2022)
- (C) The company can prematurely repay the deposit along with interest@ 9% for a period of 13 months (15 May 2021 to 31 May 2022)
- (D) The company can prematurely repay the deposit along with interest@ 9% for a period of 11 months (1 May 2021 to 31* March 2022)

6. Advise ABC Publications Limited regarding the request of Mr. U:

(2 Marks)

- (A) Mr. U cannot change his deposit to joint holding.
- (B) The deposits can be held jointly only by Mr. U and his wife.
- (C) The deposits can be held jointly by Mr. U, his wife and two children.
- (D) The deposits can be held jointly by Mr. U and any two members only.



7. The Banker of ABC Publications Limited wanted a list of deposits accepted by the company. Advise the company on what among the following constitute deposit:

(2 Marks)

- (A) Amount raised through bonds and debentures.
- (B) Any non-interest bearing amount received and held.
- (C) Amount received from Public.
- (D) The amount raised through the issue of commercial paper as per RBI guidelines and amount raised through bonds and debentures.

8. Mr. Arjun applied for 1,000 equity shares of XYZ Ltd. The company allotted the shares to him, but due to a clerical error, his name was not entered in the Register of Members. Later, the company declared dividend, but Arjun did not receive it since his name was missing from the register.

Arjun now approaches the Tribunal for relief.

Which of the following remedies can the Tribunal provide under Section 59 of the Companies Act, 2013?

(1 Mark)

- (A) The Tribunal can only award compensation; it cannot order rectification of the register.
- (B) The Tribunal may direct rectification of the register by entering Arjun's name and may also order payment of dividend due.
- (C) The Tribunal can direct the company to issue fresh shares to Arjun.
- (D) The Tribunal has no jurisdiction in such cases, and Arjun must file a civil suit.



Part- I (Descriptive Questions)

Question No. 1 is compulsory.

Attempt any **Two** questions out of the remaining **Three** questions.

1(a). ABC Private Ltd. has two wholly owned subsidiary companies, D Private Limited and E Private Limited. Examine, whether, D Private Limited and E Private Limited will be treated as related party as per the provisions of the Companies Act, 2013?

(5 Marks)

1(b). UINA Infra Projects Private Limited was incorporated on 1st June, 2022. Mr. X had already registered the trade name of "UINA Infra projects" on 1st April, 2018 under the Trade Marks Act, 1999. Mr. X was suffering from a pro-longed disease since 1st April, 2021. When Mr. X recovered from illness on 20th May, 2024 and joined his own office on 5th July, 2024, he came to know from his staff members that a company has been incorporated with the name UINA Infra Projects Private Limited. He lodged a complaint with the Regional Director on 10th July, 2024 requesting him to order the company to change its name. The Regional Director examined the application of Mr. X and on 11th July, 2024, issued a direction to UINA Infra Projects Private Limited to change its name. Mr. D, a director of UINA Infra Projects Private Limited contended that the above direction of the Regional Director was bad in law and therefore not proper on the following grounds:

1. That the name of the company is not too identical with or too nearly resembles to the name of any other company; and
2. That the stipulated time period of two years of making any complaint with respect to the name in the above ground was already over on 31st May, 2024.

Referring to the applicable provisions of the Companies Act, 2013, decide, whether the contention of Mr. D is tenable.

Also advise UINA Infra Projects Private Limited the time period within which the company will be required to change its name in case the direction of the Regional Director was valid.

(5 Marks)

1(c). Sudarshan Exports Ltd. was dealing in export of rubber to specified foreign countries. The company was willing to purchase rubber trees in Andhra Pradesh. The prospectus issued by the company contained some important extracts of the expert report and number of trees in Andhra Pradesh. The report was found untrue. Mr! Alok purchased the shares of Sudarshan Exports Ltd. on the basis of the expert report published in the prospectus. Will Mr. Alok have any remedy against the company? State also the circumstances where an expert is not liable under the Companies Act, 2013.

(5 Marks)

2(a). "A Bonus share is a distribution of capitalized undivided profit having an identity and value capable of being bought and sold." In reference to the above line elaborate the pre-requisites for issue of bonus shares as enlisted in the Companies Act, 2013.

(5 Marks)

2(b). Answer the following citing relevant provisions of the Companies Act, 2013:

- (a) Wire Electricals Limited having paid-up capital of Rs 1.00 crore availed a term loan of Rs 10,00,000 from ABC Bank Limited to purchase electrical items. Mr. Taar, one of the directors of the company, is of the opinion that it shall be considered as 'deposit'. Is his contention correct?
- (b) A Government Company, which is eligible to accept deposits under Section 76 of the Companies Act, 2013, cannot accept deposits from public exceeding 25% of the aggregate of its paid-up capital, free reserves and security premium account. Is this correct?

(5 Marks)



3(a). Explain the provisions of the Companies Act, 2013 relating to the 'Service of Documents' on a company and the members of the company?

(5 Marks)

3(b). CDS Ltd. is planning to make a private placement of securities. The Managing Director arranged to obtain a brief note from some source explaining the salient features of the issue of private placement that the Board of Directors shall keep in mind while approving the proposal on this subject. The brief note includes, inter alia, the information / suggestions on the following points:

(i) A private placement shall be made only to a select group of identified persons not exceeding 200 in a financial year.

The aforesaid ceiling of identified persons shall not apply to the offer made to the qualified institutional buyers but is applicable to the employees of the Company who will be covered under the Company's Employees Stock Option Scheme.

(ii) The offer on private placement basis shall be made only once in a financial year for any number of identified persons not exceeding 200.

The Company solicits your remarks on the points referred above as to whether they are valid or not? Reasoned remarks should be given in accordance with the provisions of the Companies Act, 2013.

(5 Marks)

4(a) Silk Segment Private Ltd. (SSPL) is a wholly owned subsidiary of Silk Block Ltd. (SBL) a listed public limited company. The Board of Directors of Silk Segment Private Ltd. have collectively decided upon the proposal to grant loans of ₹ 15,00,000 and ₹ 20,00,000 to Mr. Sohan and Ms. Subarna respectively for the purchase of fully paid-up shares in Silk Segment Private Ltd.

Mr. Sohan is the Deputy Marketing Manager of Silk Segment Private Ltd. with a monthly salary of ₹ 1,00,000; whereas Ms. Subarna, a qualified Chartered Accountant, is the Chief Financial Officer of Silk Segment Private Ltd. with a monthly salary of ₹ 2,00,000.

In view of provisions of the Companies Act, 2013, decide:

(i) Whether the proposed loans to Mr. Sohan as well as Ms. Subarna can be disbursed by the company keeping in view that Silk Segment is a private limited company?

(ii) Whether the answer would be different in case only 25% shares of SSPL are held by SBL?

(5 Marks)

4(b) Mr. Romit is an employee of PQR Trading Private Limited. As per his contract of employment, his annual salary is ₹ 5,00,000. Mr. Romit paid to the company ₹ 5,30,000 in the nature of non-interest bearing security deposit. Referring to the provisions of the Companies Act, 2013, decide whether this amount received from Mr. Romit will be considered as deposit as per rule 2(1)(c)?

(5 Marks)



PW Web/App - <https://smart.link/7wwosivoicgd4>

Library - <https://smart.link/sdfez8ejd80if>

Content Feedback - <https://forms.gle/tZpnxPhzQof2s4pn8>